



To: Yi-An Huang, City Manager
From: Christopher Cotter, Director of Housing
Date: June 22, 2026
Re: **POR-26-82 regarding a Housing Needs Study**

In response to POR-26-82 regarding options for a housing needs study, we submit the following response, which includes the following sections.

1. Background on Housing Needs Assessments
2. Studies underway that will provide data on housing needs in Cambridge
3. Plans for a Cambridge Housing Profile report produced by CDD

1. Background on Housing Needs Assessments

Housing needs assessments (HNAs) investigate local demographics, economics, and housing characteristics and may be undertaken by communities for a variety of reasons. [Somerville's recent HNA](#), completed in 2025, serves as the basis for the city's analysis of its inclusionary housing policy. Other HNAs, like [Provincetown's](#), completed in 2024, aim to more broadly guide the deployment of public resources to promote housing affordability. Additionally, HNAs are a required part of the Housing Production Plan safe harbor under Massachusetts State Affordability Law, MGL Ch. 40B, that some communities pursue to avoid unwanted housing development that may otherwise be allowed under the law.

HNAs can be completed by municipal staff or by a third-party consultant, and they generally include data from publicly available sources such as the Census Bureau's annual American Community Survey (ACS), Comprehensive Housing Affordability Strategy (CHAS), and local assessors' databases. Common elements include:

- Demographic analysis of the community, including changes over time, geographic distribution, and comparison to the region/state of key statistics such as income distribution, age distribution, racial and ethnic make-up, nativity, educational attainment, in/out migration, physical/mental disabilities, household type, and household tenure.
- Projections of population growth/decline

- Statistics related to the local economy such as total jobs, wage distribution by industry, means of transportation to work, home locations of local employees, and job locations of local residents.
- Key housing characteristics such as housing units by size of building, age of housing stock, housing units by number of bedrooms, housing condition, overcrowded housing, vacancy rate, new housing development, inventory and characteristics of deed-restricted affordable housing, inventory of for-rent and for-sale property, median rent by apartment size, and median sales price by property size.
- Housing affordability metrics such as housing cost burden; breakdown of households at different Area Median Income (AMI) levels; comparison of rental and homeownership unit prices to household income; and households earning less than 80% of AMI by age, tenure, disability status, presence of children

These indicators are presented to expose areas where policy and planning efforts as well as new development can address community housing needs.

2. Studies underway that will provide data on housing needs in Cambridge

CDD is currently working with consultants on studies assessing the Inclusionary Housing Ordinance and Incentive Zoning Ordinance. Both studies will present and analyze data on housing needs for Cambridge residents.

The Inclusionary Housing Study, which will be completed this summer, will assess the impact of new market rate residential development on housing affordability, housing supply, housing needs, and socio-economic diversity in Cambridge. A portion of the study looking at household demographics, housing stock, and housing affordability will illustrate how existing and newly constructed housing impacts the city's socioeconomic diversity. Using data from the ACS, CHAS, assessor's database, and other public and private data sources, the consultant will evaluate key indicators of housing need including but not limited to trends in median household income, employment, housing cost burden, vacancy rate, housing production, median rent and sales prices, and in/out migration. Additionally, through interviews with real estate professionals and housing market research, the consultant will gather data on development costs and expected returns on investment to understand the feasibility of new housing development in the city. Taken together, the analysis will present changes in local demographics and development economics over the past decade.

The Incentive Zoning Nexus Study, which will be completed this fall, will provide additional analysis of the local economy and the impact of new non-residential development on demand for housing, particularly from low-, moderate-, and middle-income households. Non-residential development and new jobs in that development is a key driver of demand for housing in the city at all income levels. From City development data, private sources on commercial space, as well as interviews with commercial developers active in the

city and a survey of employees who work in Cambridge, the consultant is assessing how past and projected employment trends will impact demand for new housing.

With two studies already analyzing local demographic changes, employment trends, and housing affordability, we think it would be duplicative to hire a consultant to conduct a separate housing needs study.

3. Plans for a Cambridge Housing Profile report produced by CDD

Instead of hiring a consultant to conduct a housing needs assessment that would duplicate work being completed for the Inclusionary Housing Study and Incentive Zoning Nexus Study, CDD plans to work internally to create a new statistical profile on housing needs in Cambridge. The profile will be similar to the [Cambridge Housing Profile](#) completed in 2016 and the [Neighborhood Statistical Profile](#) completed in 2023. Supplementing findings of the two studies underway, the housing profile will provide additional information on:

- Residents with specific housing needs such as older adults, households with children, and individuals with physical/mental disabilities
- The share of households at different income levels in different neighborhoods
- Existing housing stock by neighborhood
- Housing starts by neighborhood by size of project

In addition to creating an updated housing profile, CDD is working to create a housing production dashboard to provide up-to-date information on new housing projects in the pipeline that can be a user-friendly reference for residents interested in tracking new housing development.